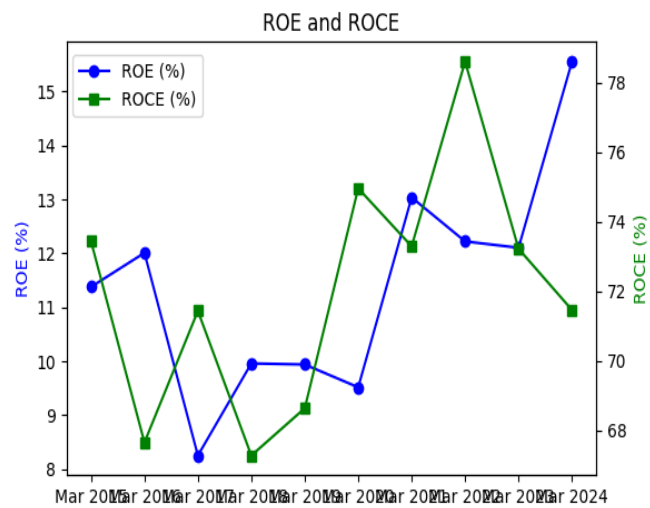
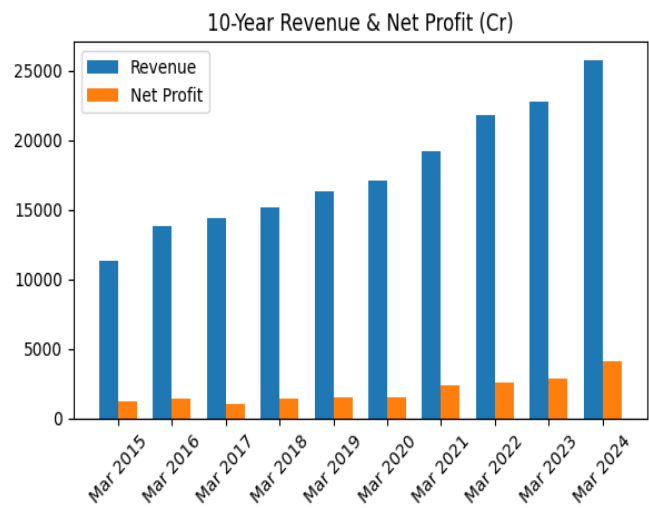
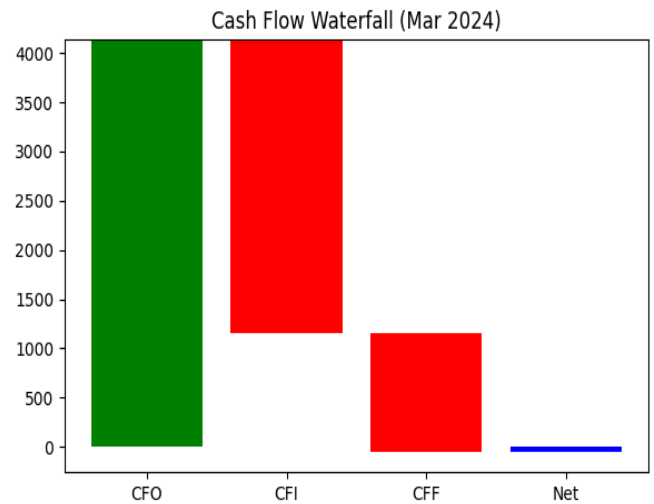
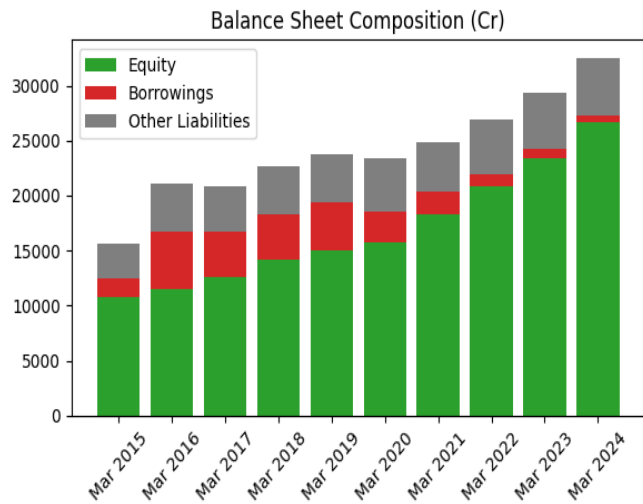


Cipla Ltd (CIPLA)

Revenue ■26,981 Cr	Net Profit ■4,987 Cr	ROE 15.6%
ROCE 71.5%	CFO Quality High Quality	Allocation Shareholder Returns





Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Growing asset base funded by internal accruals reflects self-sustaining growth
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Debt-free balance sheet provides financial flexibility and eliminates interest burden
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Net profit compounding at above 20% over 5 years creates significant shareholder value

Cons

- Macro-economic headwinds may pose challenges to near-term growth

Capital Allocation Pattern: Shareholder Returns